

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DOR

Date: 6/2/2026

Bill Number: SB 164

Short Title (as it appears on BASIS): ELIMINATE TAX DISCOUNTS

What action do you recommend the Governor take?

Select one.

☐ SIGN ☐ VETO ☒ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

Allowing SB 164 to become law without signature recognizes the Legislature's intent while signaling that the Administration is neutral toward the bill's policy direction. This option may be suitable given the bill's limited changes.

Letting the bill become law without signature acknowledges that while the proposal is not objectionable, the Administration may prefer to remain neutral. This approach maintains cooperative relations with the Legislature while preserving the Governor's policy distance from the underlying tax-structure modifications.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

SB 164 would eliminate certain deductions and discounts related to tax remittances in Alaska.

CONFIDENTIAL & DELIBERATIVE

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

Specifically, it would:

- **Remove deductions** for the remittance of motor fuel tax, tobacco taxes, and tire fees, meaning businesses would no longer retain a percentage of these tax payments to cover administrative costs.
- **Eliminate discounts** on cigarette stamp purchases, ending tiered rate reductions that previously allowed licensees to buy stamps at less than full price.
- **Sets an effective date of July 1, 2026** for all changes.

Overall, the bill would increase tax remittance obligations for businesses, potentially raising state tax revenues by requiring full payment without deductions or discounts that have been allowed.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1: Removes the 1% deduction, limited to \$100 per return, on remitting motor fuel taxes, requiring dealers and users to pay the full amount without retaining a portion for administrative costs.

Section 2: Eliminates the 0.4% deduction for tobacco tax remittances, meaning licensees must remit the full amount without retaining a portion.

Section 3: Removes discounts on cigarette stamp purchases, requiring licensees to pay the full denominated value.

Section 4: Conforming language to ensures that tax refunds for unused or damaged stamps are issued at full value rather than a discounted amount.

Section 5: Repeals certain provisions related to tax discounts and remittance deductions to conform to eliminating the underlying deductions.

Section 6: Establishes an effective date of July 1, 2026 for all changes.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

CONFIDENTIAL & DELIBERATIVE

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

N/A

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

None listed on BASIS.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

N/A

Commissioner's Signature:  Date: 6/3/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

CONFIDENTIAL & DELIBERATIVE